



Meltdown hits HOME

India's exports decline five months in a row. As recession spreads globally, exporters who aimed at a \$ 200-billion target worry about survival.

| By Nivedita Mukherjee |

A year ago Sunil Jain would never have imagined working out of a 1,000 sq ft office and with only five employees. But that is what things have melted down to. Jain, a textile exporter owning his own manufacturing outfit with a turnover of Rs 120 crore was looking at the opportunities thrown up by surging overseas demand for Indian goods till the financial tsunami struck in September last. By November he had to shut down the mill, sack 1,100 workers and shrink his ambition and office space to match his earnings. Jain is only

one of the thousands suffering from the worst multi-sector slowdown ever. After recording a 25 per cent-plus annual growth rate from \$63 billion in 2003-04 to \$162 billion by 2007-08, exports declined by as much as 16 per cent in January after sharp falls from October. Let alone meet the \$200 billion export target for 2007-08, India will be lucky to manage even last year's tally of \$162 billion with initial estimates for February indicating a decline of about 13 per cent, says Commerce Secretary G.K. Pillai.

Economies across the world are

caught in the grip of the meltdown which has seeped through the US, Europe, Japan and China to India, shrinking markets and orders as well as affecting our exports. According to Commerce Minister Kamal Nath, exports of items like tea, rice, marine products, gems and jewellery, cotton yarn, fabrics, jute products, carpets, handicrafts, plastics and linoleum have been affected extensively this year. Worse hit are textiles, handicrafts, leather, plastics and gems and jewellery. The bad news is that it is not likely to get any better with the growth of global trade in goods and services